

Idea Generation

Any mutual fund manager has no trouble coming up with portfolio candidates. The brokerage firms send us stacks of reports on companies, and their salesmen, who have a fairly good idea of the kinds of stocks we like, call about anything of special interest. We read trade journals as well as the usual business and financial publications. Executives at companies we call on often suggest we look into another company, usually a supplier or customer, but occasionally a competitor. And at analyst luncheons and other occasions we trade-talk with portfolio managers and analysts at other firms.

Though a professional gets more stock ideas thrown at him than does the individual investor, the average person who wants to invest directly in stocks (rather than take the mutual fund route) is exposed to more than enough of them. His broker, *The Wall Street Journal*, *Barron's*, *Forbes*, and other publications, friends who are investors, and contacts in his own line of business will keep him in supply.

And I believe Peter Lynch's I-get-my-ideas-at-the-mall approach works, too. Consumers can latch onto a lot of fine companies. Maybe a light went on for you the first time you waited in line for a cup of coffee at Starbucks. Or when the guys in the locker room started talking up Big Bertha drivers; Callaway Golf turned out to be another great stock. I well remember in my first years of training under Irving Harris when his first wife, Rosetta, came back from the supermarket with a couple of six-packs of Diet-Rite Cola, because she said all her friends were talking about it. It was the first diet cola. Irv, his antenna out, bought a position in Royal Crown Cola, the maker of Diet-Rite and a big winner.

No, coming up with names is not the problem. It's deciding which to discard and which to buy and how long to hold on to them that takes the work. You'll be lost if you don't bring some discipline to the process of evaluating companies and their stocks, for, as noted earlier, a great company isn't necessarily a great stock.